

### G). Life Insurance Policies

Returns: 5-6%

**Maximum deduction: Rs 1 lakh**

Income: Tax free

Best suited for: Risk-averse investors who want the twin benefits of insurance and tax savings

A taxpayer can avail of deduction of the premium paid for the life insurance of self, spouse and dependent children. Life insurance policies provide tax-free returns to investors and are the favourite tax saving option for many taxpayers.

### H). Pension Plans

Returns: Market-linked

**Maximum deduction: Rs 1 lakh**

Income: 33% withdrawn on maturity is tax free

Best suited for: Retirement planning.

Pension is a must for every financial plan, especially self-employed professionals who do not have superannuation benefits. Unit-linked pension plans offer greater transparency and control to the investor. Like in a Ulip, one can choose a mix of equities and debt in the pension plan depending on one's risk appetite. On maturity, 33% of the corpus can be withdrawn and is tax-free. If you do not get gratuity, up to 50% of the pension corpus can be commuted. The balance has to be used to buy an annuity from any insurance company, which will give a monthly pension. This pension is fully taxable. The New Pension Scheme launched last year is a good option for those who are not covered by any other retirement plan.



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